

SME Financing — Shariah Guidelines

SAMPLE DOCUMENT — SYNTHETIC CONTENT

This document exists to exercise the RAG ingestion and retrieval pipeline before the real Bank Muamalat Sheet 4 material is available. Every ruling, principle, and threshold below is invented and is not Bank Muamalat policy or a Shariah ruling. It must be replaced with the official document before any customer-facing use.

1. PURPOSE

This document sets out the Shariah principles applied to Bank Muamalat Malaysia Berhad SME financing facilities, the contracts used, and the activities that fall outside the Bank's Shariah-compliant financing scope. Dokumen ini menetapkan prinsip Syariah yang digunakan bagi kemudahan pembiayaan PKS.

It is issued for the guidance of financing officers and of any digital channel that answers customer questions about Shariah compliance. Where a question concerns a specific business activity, the matter is referred to the Shariah Committee rather than answered from this document alone.

2. SHARIAH CONTRACTS USED

SME financing facilities are structured under one of three contracts. The contract is selected by the nature of the financing need, not by customer preference, and is disclosed in the letter of offer.

2.1 Tawarruq (Commodity Murabahah)

Tawarruq is used for term financing and working capital facilities. The Bank purchases a Shariah-compliant commodity on the customer's behalf, sells it to the customer on a deferred payment basis at a disclosed profit margin, and the customer then sells the commodity to a third party for cash. The profit margin is fixed at contract inception and disclosed in full.

The commodity trade must be genuine. Sequencing, ownership transfer, and the independence of the commodity broker are audited by the Shariah Review function. Urutan transaksi mestilah sah dan tidak boleh diringkaskan.

2.2 Murabahah

Murabahah is a cost-plus sale used where the customer is acquiring an identifiable asset. The Bank purchases the asset, takes constructive possession, and sells it to the customer at cost plus a disclosed margin. The Bank must bear the risk of the asset between purchase and sale for the contract to be valid.

2.3 Ijarah Muntahia Bittamleek

Ijarah Muntahia Bittamleek is a lease ending in ownership, used for machinery, equipment, and commercial vehicle financing. The Bank owns the asset and leases it to the customer for an agreed rental over an agreed term, with ownership transferring at the end by way of gift or sale.

Because the Bank retains ownership during the lease, the Bank bears the risk of total loss of the asset and the cost of major structural maintenance. Routine operating maintenance and takaful contributions are borne by the customer.

3. PROHIBITED ACTIVITIES

Financing is not extended to a business whose income is derived, wholly or in substantial part, from activities that are not Shariah-compliant. Pembiayaan tidak diberikan kepada perniagaan yang tidak patuh Syariah.

3.1 Excluded sectors

The excluded activities are: conventional interest-based financial services; gambling, betting, and lottery operations; the production, distribution, or retail of alcoholic beverages; non-halal food production and distribution, including pork and its derivatives; tobacco manufacturing and distribution; adult entertainment of any form; and the manufacture or trade of weapons for non-defence purposes.

3.2 The mixed-income threshold

Where a business derives income from both compliant and non-compliant activities, financing may be considered if income from non-compliant activities does not exceed five per cent of total annual turnover, and the financing is applied exclusively to the compliant part of the business.

A convenience retailer whose alcohol and tobacco sales fall below the five per cent threshold may therefore be considered, provided the facility is not used to fund that portion of the inventory. Applications at or near the threshold are escalated to the Shariah Committee for a case-by-case ruling.

4. LATE PAYMENT AND COMPENSATION

Late payment is subject to ta'widh, a compensation charge representing the Bank's actual loss arising from the delay. Ta'widh is charged at one per cent per annum on the overdue amount and is not compounded.

Ta'widh must not be treated as a source of profit. Any amount recovered beyond the Bank's actual loss is channelled to charity under the supervision of the Shariah Committee, and is not recognised as income.

5. EARLY SETTLEMENT AND IBRA'

A customer settling a facility ahead of its maturity is entitled to ibra', a rebate on the unearned profit portion of the outstanding sale price. Ibra' is granted as a matter of the customer's entitlement, not at the Bank's discretion, and the calculation basis is disclosed in the letter of offer.

No compensation charge is imposed for early settlement of an SME financing facility. Tiada caj pampasan dikenakan bagi penyelesaian awal.

6. TAKAFUL REQUIREMENTS

Where a facility is secured against property or an asset, takaful coverage from a licensed takaful operator is required for the tenure of the facility. Conventional insurance is not accepted as a substitute. The Bank is named as loss payee to the extent of the outstanding financing.

7. REFERRAL TO THE SHARIAH COMMITTEE

Any question concerning the compliance of a specific business activity, the validity of a proposed contract structure, or the treatment of an unusual income stream is referred to the Shariah Committee. No officer and no digital channel may issue a Shariah ruling on the Bank's behalf.